Texas Instruments

TXN | NASDAQ | 2026-10-07

Q4 2027 model ceiling: USD 262.24

Analytical Base 45/60 = 75 | Qualified analog supply, industrial recovery and expanding power content

20x quarter-plus-next-three fully expensed GAAP operating profit, less matched end-window debt/pension/deferred-compensation claims and capped cash credit, divided by matched diluted shares. Common floor within each state before probability weights.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 288.98 per share (2026-10-07 close); 913.248 million common shares (2026-07-15); estimated equity capitalization USD 263,910.3 million. Dated market price multiplied by latest reported actual common shares across the stated dates; forecast diluted shares are excluded from market capitalization. This dated common-share snapshot is separate from forecast diluted shares.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	12,940.6	20x	935.703	262.24

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

TI consolidated common equity; no external minority claim identified. Model end-window face debt plus123m underfunded pension and500m deferred compensation, less cash beyond3500m reserve capped at3501m. USGAAP rent remains fully expensed, so operating lease liabilities are not subtracted a second time. No credit for excess futurecash, pension surplus or speculative asset values.. 20x quarter-plus-next-three fully expensed GAAP operating profit, less matched end-window debt/pension/deferred-compensation claims and capped cash credit, divided by matched diluted shares. Common floor within each state before probability weights.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Thesis

Research date: October 7, 2026. USD millions unless stated otherwise. Calendar-year reporting. The financial model starts in Q3 2026, which is an estimate; TI has scheduled those results for October 21. This is research coverage, not a declaration of portfolio ownership.

The investment case

TI has already paid for much of the difficult construction needed to support a larger analog and embedded business. Its immediate commercial advantage is the ability to ship a qualified chip while a customer's line would otherwise wait. Its longer opportunity is to sell more power, control and sensing content into industrial equipment, vehicles and data centers. Neither opportunity requires TI to capture the price of a whole server, vehicle or electrical cabinet.

The evidence is improving: Q2 revenue grew 23%, industrial demand broadened, data-center revenue approximately doubled, and management moved from discussing price increases to executing them. The model gives that pricing evidence an 80% probability on a bounded eligible pool. An additional 55% branch captures new 800V-related chip content after a 50% overlap deduction. A 25% industrial/auto downturn branch remains active.

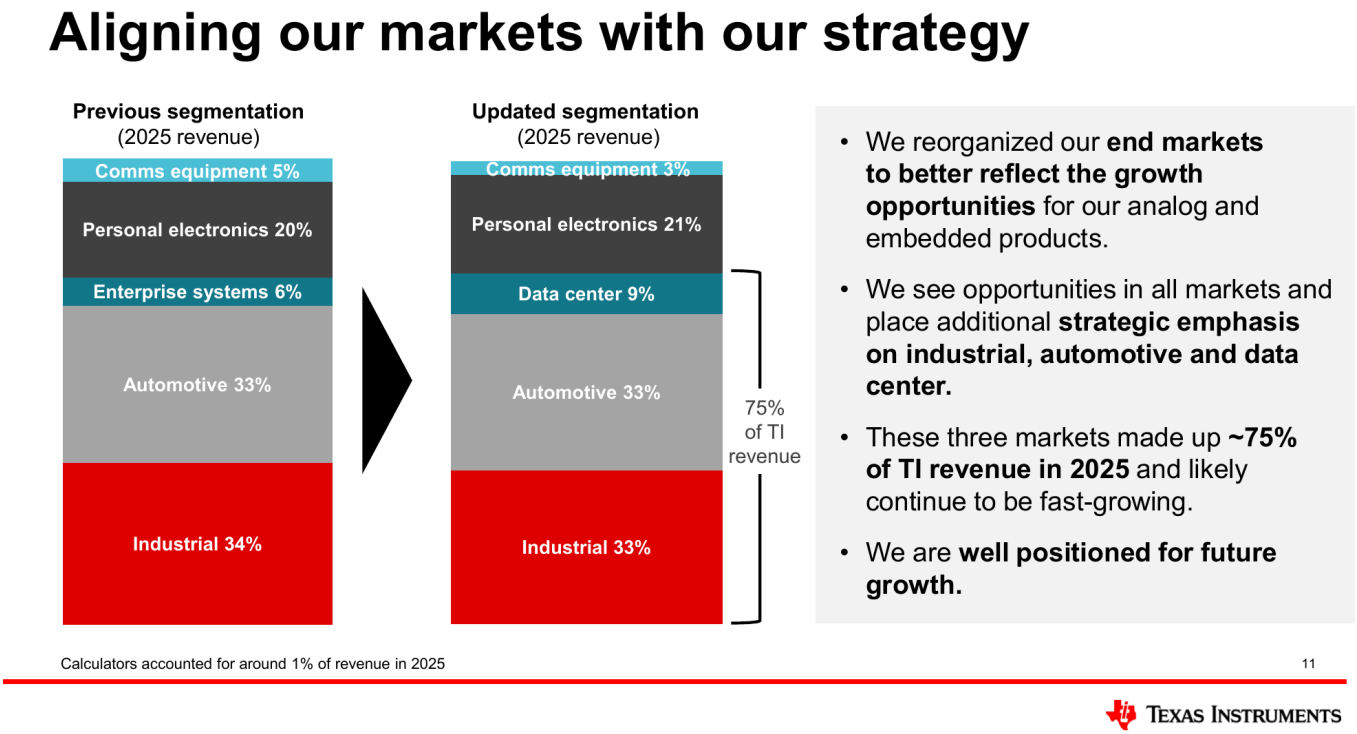
Silicon Labs changes the economics. The proposed cash acquisition expands wireless connectivity and offers a manufacturing transfer opportunity, but the purchase price, financing, purchase-accounting amortization, employee awards and integration must accompany its revenue. This model retains those costs in GAAP operating profit. Its initial valuation contribution is consequently less attractive than an analysis that capitalizes target sales and immediately applies the full announced synergy target.

The analytical Base is **75/100, or 45/60** under the framework rubric. The active Q4 2027 ceiling is **USD 262.24**, calculated from Q4 2027 through Q3 2028 at 20x fully expensed operating profit. It is a conditional operating valuation, not an analyst price target or a guaranteed trading price.

The revenue base: analog across real end markets

The 2025 business generated $17.682 billion of sales. Its reported segments were Analog ($14.01 billion), Embedded Processing ($2.70 billion) and Other ($979 million). Those product segments are different from end markets. The newly aligned end-market mix was approximately 33% industrial, 33% automotive, 9% data center, 21% personal electronics, 3% communications and 1% calculators. Historical enterprise-systems and communications categories cannot simply be compared with the new data-center category without that reclassification.

TI sells more than 80,000 products to more than 100,000 customers; about half its revenue comes from outside the largest 50 customers. More than 80% of 2025 sales were direct, including TI.com. That breadth reduces dependence on one hyperscaler or automobile program, but it does not remove semiconductor inventory cycles. A large catalog also requires inventory, applications engineers and a geographically extensive service organization.



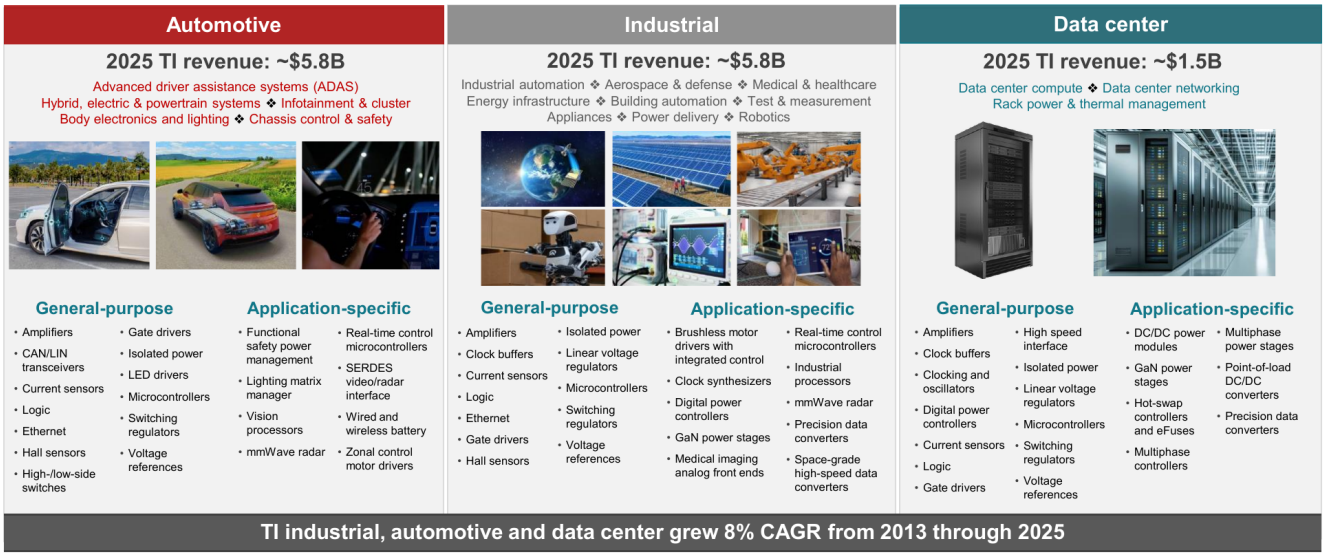
Original issuer exhibit: capital deck.pdf, PDF page 11. Source facts and plans; model assumptions are separately identified.

Why more semiconductor content matters

Analog chips connect digital computation to voltages, current, temperature, motion and the physical world. Power chips switch, protect and convert electricity; signal-chain products measure and condition signals. Embedded processors execute the control software. A factory robot, electric vehicle and server power train can each use multiple TI products, but the product counts and prices are different.

Automotive content grows through electrification, advanced driver assistance, zonal electronics and improved sensing. Industrial content grows through automation, power delivery, medical equipment, test and measurement and energy infrastructure. Customer software and lengthy design qualification can make a selected microcontroller difficult to replace after production begins. These are switching costs, not a contractual monopoly. New systems and redesigns remain competitive.

The model separates six end-market sales vectors. It does not present its quarterly allocations as company disclosures. The disclosed Analog/Embedded/Other segment results anchor total sales, gross profit and expenses; management's end-market growth descriptions inform the allocations. Calculators are a small end-market residual, not the whole reported Other segment, which also contains DLP and custom ASIC activity.



Original issuer exhibit: capital deck.pdf, PDF page 12. Source facts and plans; model assumptions are separately identified.

The actual earnings anchor

Q2 2026 sales were $5,463 million, gross profit $3,352 million and GAAP operating profit $2,310 million. Gross margin was 61.36% and operating margin 42.28%. Expenses included $535 million of R&D, $490 million of SG&A and $17 million of acquisition charges. Net income of $1,980 million produced $2.14 diluted common EPS after participating-award allocation. The approximately five-cent discrete tax benefit is not capitalized as recurring operating profit.

H1 sales were $10,288 million, gross profit $6,151 million and operating profit $4,118 million. Operating cash flow was $4,223 million, gross capex $1,190 million, D&A $1,130 million and SBC $236 million. For comparison, 2025 sales were $17,682 million, operating profit $6,023 million, operating cash flow $7,153 million, gross capex $4,550 million and SBC $419 million.

The April 22 and July 22 management discussions were read in full, including Q&A. April showed an industrial recovery that remained well below the 2022 peak and warned that 2025 had produced a false start. July described stronger breadth, industrial sales still roughly 5-6% below the old peak, improving loadings and customer-by-customer pricing execution. These are related observations in one recovery, not independent revenue shocks.

The Q3 reference is $5,900 million of sales, $3,665.75 million of gross profit and $1,042 million of expenses. It is consistent with the issuer's $5.65-6.15 billion revenue guidance and $2.23-2.57 EPS range when normal interest/other-income and tax assumptions are applied. The small incremental Q3 pricing branch is deliberately consistent with management's comment that pricing was almost insignificant in that quarter's guide. No future quarterly result is labeled as reported.

TEXAS INSTRUMENTS INCORPORATED AND SUBSIDIARIES

PART I - FINANCIAL INFORMATION

ITEM 1. Financial statements

Consolidated Statements of Income

(In millions, except per-share amounts)	For Three Months Ended June 30, 2026	2025	For Six Months Ended June 30, 2026	2025
Revenue	**$ 5,463**	$ 4,448	**$ 10,288**	$ 8,517
Cost of revenue (COR)	**2,111**	1,873	**4,137**	3,629
Gross profit	**3,352**	2,575	**6,151**	4,888
Research and development (R&D)	**535**	527	**1,045**	1,044
Selling, general and administrative (SG&A)	**490**	485	**954**	957
Acquisition charges	**17**	—	**34**	—
Operating profit	**2,310**	1,563	**4,118**	2,887
Other income (expense), net (OI&E)	**69**	48	**116**	128
Interest and debt expense	**141**	133	**282**	261
Income before income taxes	**2,238**	1,478	**3,952**	2,754
Provision for income taxes	**258**	183	**427**	280
Net income	**$ 1,980**	$ 1,295	**$ 3,525**	$ 2,474
Earnings per common share (EPS):				
Basic	**$ 2.16**	$ 1.42	**$ 3.85**	$ 2.71
Diluted	**$ 2.14**	$ 1.41	**$ 3.82**	$ 2.69
Average shares outstanding:				
Basic	**912**	908	**911**	909
Diluted	**920**	912	**917**	914

A portion of net income is allocated to unvested restricted stock units (RSUs) on which we pay dividend equivalents. Diluted EPS is calculated using the following:

Net income	**$ 1,980**	$ 1,295	**$ 3,525**	$ 2,474
Income allocated to RSUs	**(11)**	(7)	**(20)**	(13)
Income allocated to common stock for diluted EPS	**$ 1,969**	$ 1,288	**$ 3,505**	$ 2,461

See accompanying notes.

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Original issuer exhibit: q2 10q.pdf, PDF page 2. Source facts and plans; model assumptions are separately identified.

Manufacturing economics: wafer cost is not total cost

TI's 300mm claim is that unpackaged chip cost can be about 40% below the equivalent chip on 200mm. It is not a 40% reduction in the entire cost of goods sold. Its own example has a $1 sale price, chip cost declining from $0.20 to $0.12, and assembly/test/other costs remaining $0.20. Total cost falls from $0.40 to $0.32 and gross margin rises from 60% to 68%.

The mechanism is more good dies per wafer and efficient internal processes. Actual economics also depend on die size, edge loss, defect yield, mask steps, test time, package complexity, utilization and depreciation. Empty cleanroom space produces no qualified chips. New production has to meet electrical, reliability and customer requirements; material and equipment spending can precede revenue by multiple quarters.

The model's reference gross margins are already higher than the recent trough because volume and mix absorb existing factory costs. It therefore does not add a second blanket 300mm uplift. Data-center gross margin starts near the corporate average, following the specific July Q&A answer. It is not assigned an exceptional AI margin simply because the chips end up near a GPU.

Chip cost is ~40% less on 300mm

Illustration of the GPM impact from 300mm

		Built on 200mm wafer	Built on 300mm wafer
Sales price of example part		$1.00	$1.00
Cost of goods:	Chip cost	$0.20	$0.12
	Assembly, test, other	$0.20	$0.20
	Total	$0.40	$0.32
Gross margin %		60%	68%

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TEXAS INSTRUMENTS

Original issuer exhibit: capital deck.pdf, PDF page 17. Source facts and plans; model assumptions are separately identified.

Qualified capacity and the next spending phase

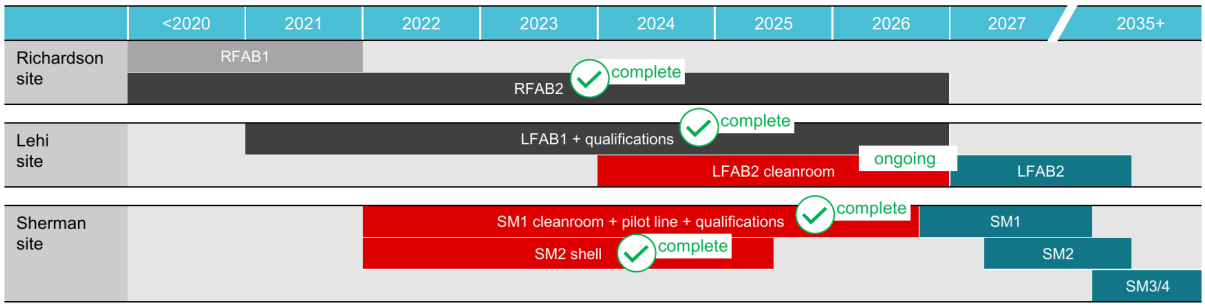
RFAB2 in Richardson, the Lehi fabs and Sherman provide different kinds of capacity. Richardson supports transfers from older 150mm production and incremental growth. Lehi supports foundry transfers in processes including 28-65nm. Sherman has completed cleanroom and pilot-line work, while a second shell removes some construction lead time. The source slides distinguish completed preparation from ongoing equipment installation and qualifications.

Management said its cleanroom position was good for roughly the next three years, while still requiring equipment purchases and assembly/test investment. The February plan targeted more than 90% internal wafer sourcing and more than 70% of internal wafers on 300mm in 2026; the 2030 aspiration is more than 95% internal wafers and more than 80% on 300mm. These are sourcing shares, not a disclosed saleable-unit capacity schedule.

Executed 300mm capacity to support growth

Delivered on time, on budget, with high levels of efficiency

Phase 1 (2021-2026) Transfers & incremental growth	Phase 2 (2022-2026) New fab preparation	Phase 3 (2026+) Modular capacity
• Equip RFAB2 and execute 150mm fab shutdowns, transfer into RFAB2 • Equip LFAB1 and complete technology and customer qualification • Transfer external foundry wafers into LFAB1	• LFAB2 cleanroom ready for first production start, no customer re-qualification needed • Construct SM1 and complete pilot line to begin technology and customer qualification • Complete SM2 shell, eliminating construction lead time	• Ramp fabs to meet customers' demand, without re-qualifications • Scalability of CapEx, including capacity modularity • Deliver free cash flow per share growth across a range of market conditions



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Texas Instruments

Original issuer exhibit: capital deck.pdf, PDF page 19. Source facts and plans; model assumptions are separately identified.

Our newest 300mm wafer fabs

Richardson, Texas (RFAB)



- Capacity supporting transfers from 150mm, as well as new devices and technologies
- RFAB2 ramping toward full buildout; more than doubling RFAB1 capacity since 2021

Lehi, Utah (LFAB)



- LFAB1 supports external foundry transfers, including Silicon Labs products, in key technologies from 28nm to 65nm
- LFAB2 shell construction in progress and is on track, enabling future ramp with no customer re-qualification needed

Sherman, Texas (SM)



- SM1 cleanroom and pilot line complete; will ramp according to customer demand
- SM2 shell is complete, eliminating construction lead time

28nm to 130nm process technology nodes, optimized for analog and embedded products

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Texas Instruments

Original issuer exhibit: capital deck.pdf, PDF page 20. Source facts and plans; model assumptions are separately identified.

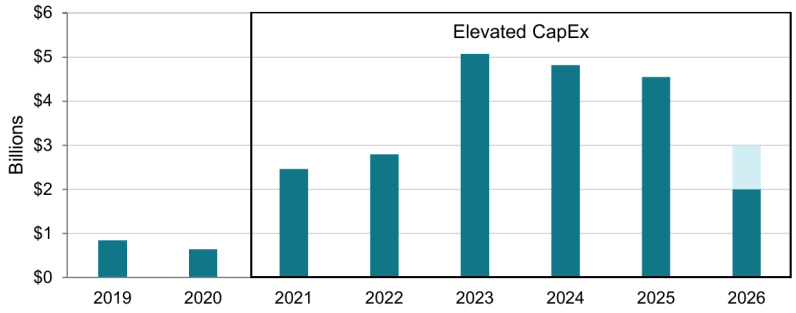
The latest 2026 capex guide remained $2-3 billion, with July suggesting the upper side of its midpoint as demand strengthened. The model has H1 actual $1.190 billion plus $850 million in each remaining quarter, or $2.890 billion. Baseline capex is $4.6/$4.7/$4.3/$4.0 billion in 2027-30, before conditional 800V equipment and acquired-business spending. This is not a permanently low-capex extrapolation.

Management's longer-run shorthand is capital intensity approximately 1.2 times revenue growth: for example, 15% growth implies around 18% of sales invested. It does not mean capex equals 1.2 times sales. The model's earlier growth years use substantial equipment budgets; later budgets remain assumptions rather than guidance. Assembly/test investment outside the United States does not automatically earn the 35% U.S. investment tax credit.

Scalability of capital expenditures

Supports long-term growth

Estimated capital expenditures (gross*)



Key metrics	2022	2026
% of wafers internal	80%	>90%
% of internal wafers 300mm	40%	>70%
% of assembly internal	60%	>85%

* Gross CapEx, does not include CHIPS Act benefits

- 300mm new fab expansions on track to be complete in 2026
- CapEx modularity supports manufacturing ramps aligned with customer demand
- 2027+ CapEx depends on revenue and expected growth
- >95% of wafers sourced internal and >80% on 300mm by 2030

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Texas Instruments

Original issuer exhibit: capital deck.pdf, PDF page 21. Source facts and plans; model assumptions are separately identified.

Pricing: available inventory can command value

When a low-cost component can halt a much more expensive production line, a qualified alternative delivered quickly can be worth more than its nominal unit price. TI's July call described customers asking for immediate help and competitors quoting lead times as long as 52 weeks. TI described its own lead times moving from below 13 weeks toward a couple of weeks longer. This is management's market observation, not a complete independently sampled lead-time index.

The active pricing branch assigns an 80% probability because management said increases were already being executed. The conditional 2027-28 increment is 50% of eligible legacy invoices repriced by 5%, or 2.5% of the non-calculator revenue pool. A 2-6% premium bounds the price sensitivity. The uplift fades to 1.875% of that pool in 2029 and 1.25% in 2030 as supply response and negotiation catch up.

Ninety percent reaches gross profit; another 5% pays incremental service, expediting and applications expense, leaving 85% incremental OP. Existing locked contracts are excluded by the eligible-volume assumption. Incremental 800V sales are excluded from this pool. If industrial/auto volumes decline in the CYCLE state, their lost invoices also lose the corresponding pricing increment. A price increase on a product that was not shipped is not revenue.

800V: a wider chip wallet with a qualification hurdle

TI's March 16 NVIDIA demonstration described an 800V-to-6V isolated converter followed by a 6V-to-sub-1V multiphase stage, plus hot-swap protection and other designs. It reported 97.6% peak efficiency and more than 2,000W per cubic inch for the demonstrated intermediate converter. These are issuer design claims at specified operating conditions, not the end-to-end efficiency of a finished data center.

The engineering reason to raise distribution voltage is that, for the same power, current falls. That can reduce resistive losses and conductor requirements. However, high-voltage conversion increases insulation, switching, protection and control demands. The captured chip wallet includes controllers, gate drivers, sensing, isolation and power stages. It does not equal the price of a rack, transformer, cooling unit or complete power supply.

The original 650V GaN datasheet below illustrates integrated drivers and protection. A 650V-rated device must not be described as an 800V-rated switch; an 800V system may require a topology that limits voltage stress across each device and adequate derating. The datasheet proves product capability, not a production award for every NVIDIA architecture.

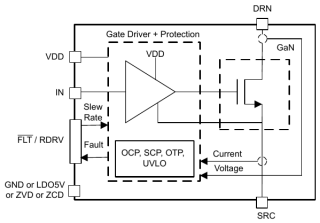
LMG365xR025 650V 25mΩ GaN FET With Integrated Driver and Protection

1 Features

- 650V 25mΩ GaN power FET with integrated gate driver
  - >200V/ns FET hold-off
  - Adjustable slew rates for optimization of switching performance and EMI mitigation
    - 10V/ns to 80V/ns turn-on slew rates
    - 10V/ns to full speed turn-off slew rates
  - Operates with supply pin and input logic pin voltage range from 9V to 26V
- Robust protection
  - Cycle-by-cycle overcurrent and latched short-circuit protection with <300ns response
  - Withstands 720V surge
  - Self-protection from internal overtemperature and UVLO monitoring
- Advanced power management
  - LMG3656R025 includes zero-voltage detection (ZVD) feature that facilitates soft-switching converters
  - LMG3657R025 includes zero-current detection (ZCD) feature that facilitates soft-switching converters
- 9.8mm × 11.6mm TOLL package with thermal pad

2 Applications

- Open rack server PSU
- Merchant telecom rectifiers
- Common redundant power supply
- Uninterruptible power supplies
- Solar inverters and industrial motor drives



Simplified Block Diagram

3 Description

The LMG365xR025 GaN FET with integrated driver and protection is targeted at switch-mode power converters and enables designers to achieve new levels of power density and efficiency.

Adjustable gate driver strength allows the control of turn-on and maximum turn-off slew rates independently, which can be used to actively control EMI and optimize switching performance. Turn on slew rate varies from 10V/ns to 80V/ns, while the turn off slew rate can be limited from 10V/ns to a maximum based on the magnitude of load current. Protection features include under-voltage lockout (UVLO), cycle-by-cycle overcurrent limit, and short-circuit and overtemperature protection. The LMG3651R025 provides a 5V LDO output on LDO5V pin that powers external digital isolators. The LMG3656R025 includes the zero-voltage detection (ZVD) feature which provides a pulse output from the ZVD pin when zero-voltage switching is realized. The LMG3657R025 includes the zero-current detection (ZCD) feature that sets the ZCD pin high when the drain-to-source current is negative and transitions to low upon detecting the zero-crossing point.

Package Information

PART NUMBER	PACKAGE(1)	PACKAGE SIZE(2)
LMG365xR025	KLA (TOLL, 9)	9.8mm × 11.6mm

(1) For all available packages, see Section 11.
(2) The package size (length × width) is a nominal value and includes pins, where applicable.

Device Information

PART NUMBER	LDO 5V OUTPUT	ZERO-VOLTAGE DETECTION FEATURE	ZERO-CURRENT DETECTION FEATURE
LMG3650R025	—	—	—
LMG3651R025 (1)	Yes	—	—
LMG3656R025 (1)	—	Yes	—
LMG3657R025 (1)	—	—	Yes

(1) Product Preview

An IMPORTANT NOTICE at the end of this data sheet addresses availability, warranty, changes, use in safety-critical applications, intellectual property matters and other important disclaimers. UNLESS OTHERWISE NOTED, this document contains PRODUCTION DATA.

Original issuer exhibit: gan datasheet.pdf, PDF page 1. Source facts and plans; model assumptions are separately identified.

The model's additional 800V wallet starts with 2/4/6/8 million eligible processor-equivalent power domains in 2027-30 and $240/$360/$420/$450 of captured TI chip content per domain. These are commercial modeling proxies. Half the resulting $480/$1,440/$2,520/$3,600 million gross wallet is excluded because the strong existing

data-center revenue path already captures power and signal-chain growth. At 55% probability, incremental sales are $132/$396/$693/$990 million.

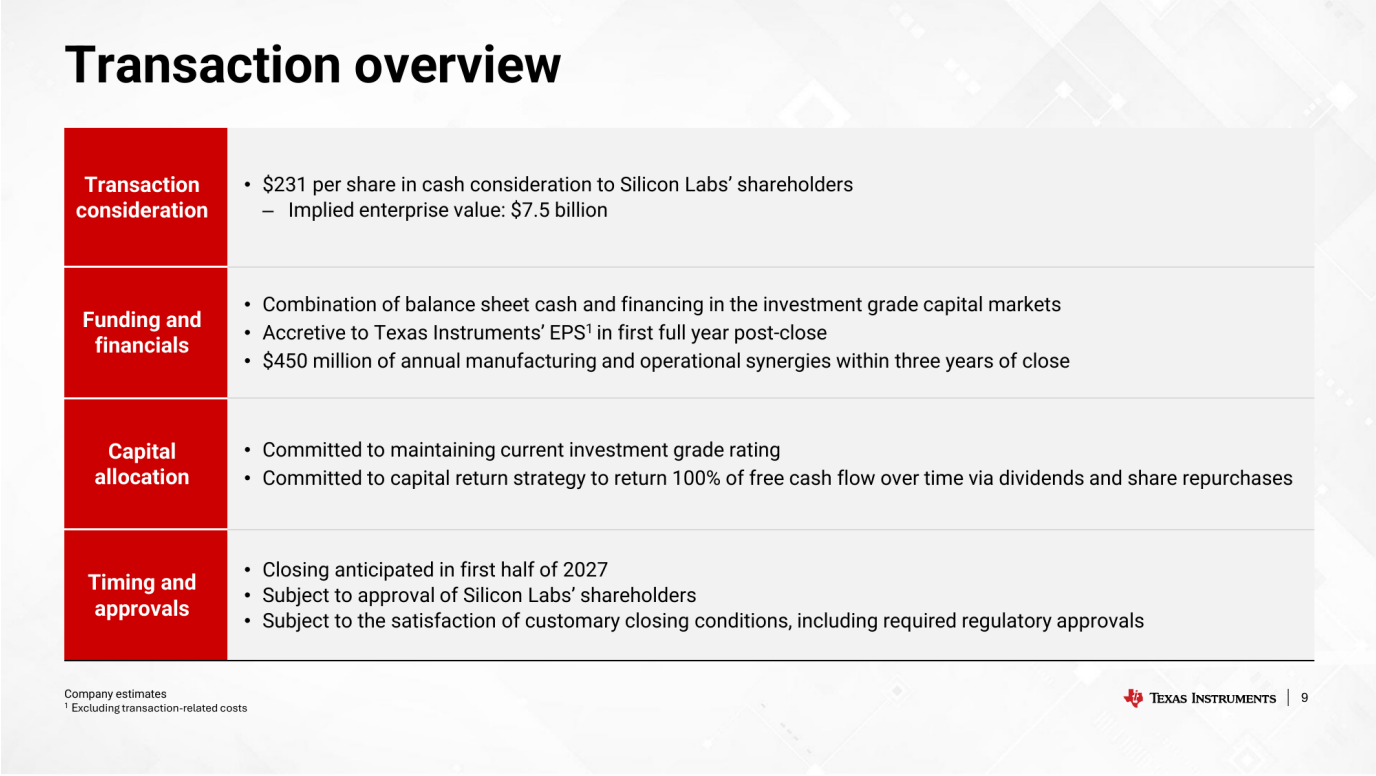
The incremental economics retain 64% gross margin and 10% engineering/support expense, or 54% OP margin. Conditional annual capex is $600/$900/$1,100/$1,200 million; associated D&A of $80/$200/$320/$400 million is contained in gross costs and added back only for cash flow. This spending responds to delivered qualified output, not to an inferred number of factory square feet.

Risks include delayed architecture adoption, lower chip content, competing silicon, alternative topologies and consolidation of conversion stages. The same two-stage architecture that raises power density can remove some intermediate sockets. Infineon, Renesas, MPS, ADI and specialist power vendors remain competitors. TI's catalog breadth and internal supply are advantages, not exclusivity.

Silicon Labs: a different product and funding decision

The February 4 agreement offers $231 cash for each Silicon Labs ordinary share. Shareholders approved the transaction on April 30. Regulatory approvals and other conditions remain; TI reiterated an expected H1 2027 close in July. The initial February 4, 2027 termination date can extend to August 4, 2027 and then February 4, 2028 for specified regulatory circumstances. The model's delayed case assumes a January 2028 close within that final extension.

The target brings wireless connectivity hardware, software and protocols into TI's broader embedded portfolio. The source deck described more than 15,000 customers, about 85% industrial exposure and no customer above 5% in the 2025 data used for that presentation. The strategic fit is genuine, but the current target is not already producing the claimed mature synergy profit: its Q2 2026 sales were $228 million, gross margin 61.6%, GAAP expenses about $151 million and operating loss about $11 million. Its $27 million non-GAAP operating income excludes costs that remain economically relevant here.



Original issuer exhibit: deal deck.pdf, PDF page 9. Source facts and plans; model assumptions are separately identified.



Original issuer exhibit: deal deck.pdf, PDF page 7. Source facts and plans; model assumptions are separately identified.

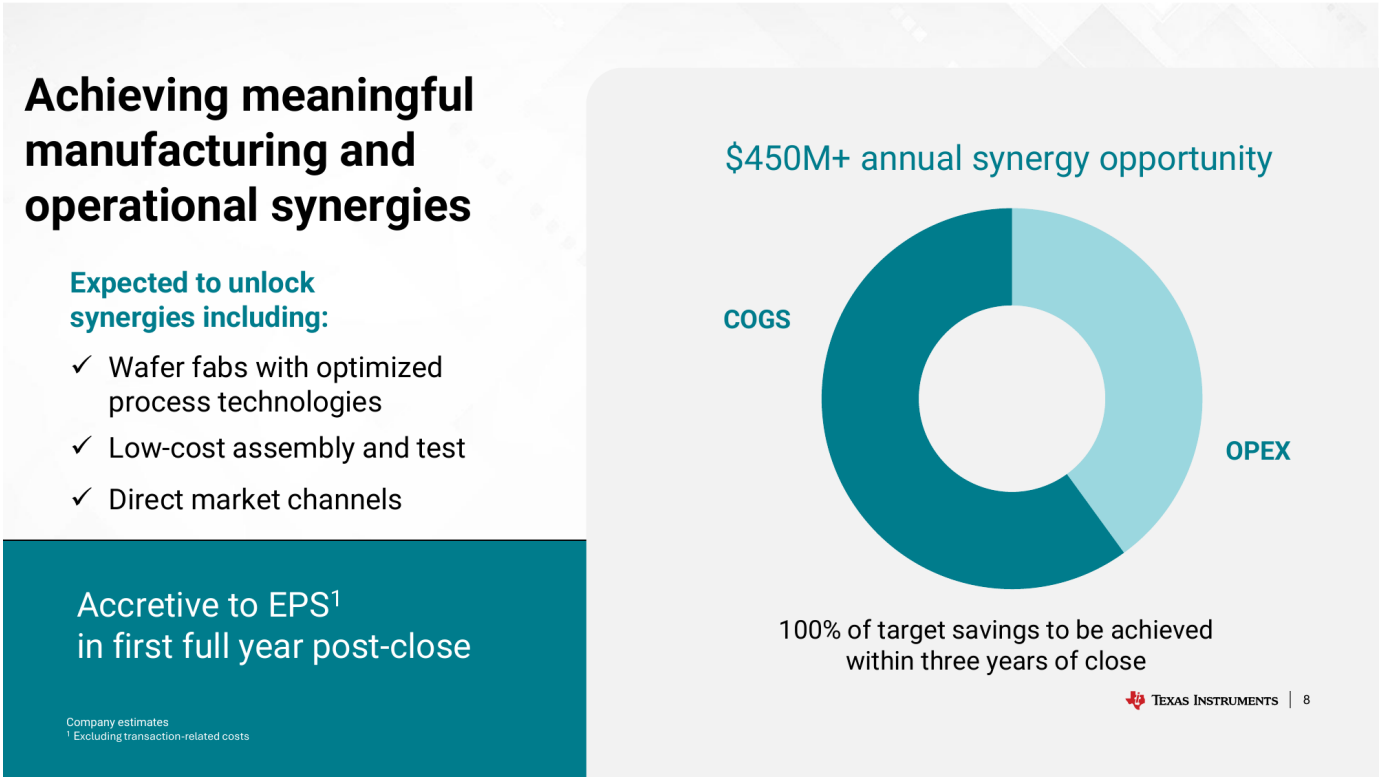
The model assigns four mutually exclusive outcomes: 75% closing during Q2 2027; 15% closing in January 2028; 7% regulatory failure in Q1 2028 with the contractual $499 million reverse termination payment; and 3% another failure without assuming either a payment or receipt. The $259 million fee potentially payable by Silicon Labs is not credited without a specific trigger. These are analyst probabilities, not company probabilities. Closing is not contingent on TI obtaining financing.

What fully expensed acquisition economics look like

The announced manufacturing and operating synergy target is more than $450 million annually within three years after close, excluding revenue synergies. Management explained that about 75% of 2030 target sales could move inside TI and that roughly 10-15 dies underpin much of the manufacturing transfer. Qualification, yield and customer acceptance still govern the speed and cost of that transfer.

The selected conditional model assumes 70% attainment of the $450 million target, or $315 million at maturity, with an eleven-quarter ramp. This is a conservative magnitude assumption within a completed-deal path, not a separate certainty statement about all synergies. Sixty percent is modeled in gross costs and 40% in expenses. It does not add cross-selling revenue on top of target organic growth. Target full-year sales assumptions are $1.080/$1.242/$1.428/$1.643 billion in 2027-30, with GAAP ordinary expenses of $560/$600/$630/$660 million before savings. Ordinary target SBC remains included.

The model also includes $450 million annual purchase-accounting amortization: a provisional $4.5 billion intangible allocation over ten years, with a $3-5 billion and 8-12-year sensitivity range. Final PPA is unknown. It includes $100 million of inventory step-up over the first two quarters, $150 million integration expense over four quarters, $80 million closing fees and $50 million accelerated-award compensation. None is removed from OP to make the acquisition look accretive. Announced EPS accretion explicitly excluded transaction-related costs; the Q1 call acknowledged that GAAP results would retain acquisition charges.



Original issuer exhibit: deal deck.pdf, PDF page 8. Source facts and plans; model assumptions are separately identified.

Cash, debt and a deal that has to be paid for

At June 30, TI reported $3.660 billion of cash and $3.341 billion of short-term investments, or $7.001 billion combined. Face debt was $14.150 billion; the $14.052 billion accounting amount is net of unamortized discounts and issuance costs. The valuation uses principal, not the lower market value of the bonds. It also reserves $123 million of underfunded retirement liabilities and $500 million of deferred compensation. Overfunded retirement assets of $316 million are not treated as freely distributable cash.

Operating leases are fully expensed in GAAP OP. The $731 million December operating-lease liability is disclosed, but is not deducted again while leaving all rent in the profit multiple. Purchase commitments are addressed within operating costs, capex and working capital; they are not all reclassified as incremental financial debt.

Consolidated Balance Sheets (In millions, except par value)	June 30, 2026	December 31, 2025
Assets		
Current assets:		
Cash and cash equivalents	**$ 3,660**	$ 3,225
Short-term investments	**3,341**	1,656
Accounts receivable, net of allowances of ($22) and ($22)	**2,520**	1,963
Raw materials	**467**	465
Work in process	**2,407**	2,372
Finished goods	**1,731**	1,967
Inventories	**4,605**	4,804
Prepaid expenses and other current assets	**1,631**	2,102
Total current assets	**15,757**	13,750
Property, plant and equipment at cost	**17,856**	17,682
Accumulated depreciation	**(5,945)**	(5,362)
Property, plant and equipment	**11,911**	12,320
Goodwill	**4,330**	4,330
Deferred tax assets	**1,017**	967
Capitalized software licenses	**314**	238
Overfunded retirement plans	**316**	324
Other long-term assets	**2,237**	2,656
Total assets	**$ 35,882**	$ 34,585
Liabilities and stockholders' equity		
Current liabilities:		
Current portion of long-term debt	**$ 1,149**	$ 500
Accounts payable	**680**	756
Accrued compensation	**536**	829
Income taxes payable	**70**	67
Accrued expenses and other liabilities	**809**	1,007
Total current liabilities	**3,244**	3,159
Long-term debt	**12,903**	13,548
Underfunded retirement plans	**123**	124
Deferred tax liabilities	**55**	66
Other long-term liabilities	**1,550**	1,415
Total liabilities	**17,875**	18,312
Stockholders' equity:		
Preferred stock, $25 par value. Shares authorized – 10; none issued	**—**	—
Common stock, $1 par value. Shares authorized – 2,400; shares issued – 1,741	**1,741**	1,741
Paid-in capital	**5,129**	4,511
Retained earnings	**53,161**	52,236
Treasury common stock at cost		
Shares: June 30, 2026 – 828; December 31, 2025 – 834	**(41,941)**	(42,130)
Accumulated other comprehensive income (loss), net of taxes (AOCI)	**(83)**	(85)
Total stockholders' equity	**18,007**	16,273
Total liabilities and stockholders' equity	**$ 35,882**	$ 34,585

See accompanying notes.

Original issuer exhibit: q2 10q.pdf, PDF page 4. Source facts and plans; model assumptions are separately identified.

Long-term debt outstanding is as follows:

	June 30, 2026	December 31, 2025
Notes due 2026 at 1.125%	$ 500	$ 500
Notes due 2027 at 4.60%	650	650
Notes due 2027 at 2.90%	500	500
Notes due 2028 at 4.60%	700	700
Notes due 2029 at 4.60%	650	650
Notes due 2029 at 2.25%	750	750
Notes due 2030 at 1.75%	750	750
Notes due 2030 at 4.50%	550	550
Notes due 2031 at 1.90%	500	500
Notes due 2032 at 3.65%	400	400
Notes due 2033 at 4.90%	950	950
Notes due 2034 at 4.85%	600	600
Notes due 2035 at 5.10%	650	650
Notes due 2039 at 3.875%	750	750
Notes due 2048 at 4.15%	1,500	1,500
Notes due 2051 at 2.70%	500	500
Notes due 2052 at 4.10%	300	300
Notes due 2053 at 5.00%	650	650
Notes due 2054 at 5.15%	750	750
Notes due 2063 at 5.05%	1,550	1,550
Total debt	14,150	14,150
Net unamortized discounts, premiums and issuance costs	(98)	(102)
Total debt, including net unamortized discounts, premiums and issuance costs	14,052	14,048
Current portion of long-term debt	(1,149)	(500)
Long-term debt	$ 12,903	$ 13,548

Interest and debt expense was $141 million and $133 million for the second quarters of 2026 and 2025, respectively, and $282 million and $261 million for the first six months of 2026 and 2025, respectively. This is inclusive of amortized discounts, premiums and issuance and other related costs. Capitalized interest was $3 million and $2 million for the second quarters of 2026 and 2025, respectively, and $6 million for the first six months of both 2026 and 2025.

Original issuer exhibit: q2 10q.pdf, PDF page 13. Source facts and plans; model assumptions are separately identified.

The latest reported target ordinary count is 33.366761 million. At $231, that is $7,707.724 million of ordinary consideration before future vesting. The cash bridge adds a $130 million bounded allowance for accelerated PSUs/RSUs and $80 million fees, then deducts $397.2 million of target cash/investments. This is $7,520.524 million before interim ordinary vesting. The headline $7.5 billion enterprise value is not substituted for the purchase cash calculation.

The model additionally allocates a 1.10 million residual ordinary-RSU pool between pre-close vesting and converted TI awards. The on-time path has 0.4 million ordinary vestings, adding $92.4 million cash, and 0.7 million converted RSUs. The delayed path has 0.8 million vestings, adding $184.8 million cash, and 0.3 million converted RSUs. This preserves the same pool rather than charging cash and dilution for the same award. January disclosed grants and August ordinary shares do not reveal the exact closing cap table; these are explicit reserved assumptions awaiting updated disclosures.

Of the $130 million accelerated-award cash allowance, $50 million is treated as post-combination compensation expense; the balance is purchase consideration. The $80 million closing fee is also expensed. Those $130 million of expenses are added back in the cash reconciliation only because the entire fee/award cash is already inside the purchase payment. Integration cash remains a separate expense and payment. PPA and inventory step-up are noncash addbacks only for funding, never for valuation.

TI disclosed a $5 billion, 364-day delayed-draw facility in June. It had not drawn it. The model assumes $5 billion of permanent financing at closing, with a 5.5% rate and maturity after 2030. That is a funding assumption, not a statement that the disclosed bridge already has those terms. The delayed case requires renewal or replacement of the commitment. The separate existing $1 billion revolver is not counted as new cash.

Scheduled principal budgets retire $500 million in Q4 2026, $1,150 million during 2027, $700 million in 2028, $1,400 million in 2029 and $1,300 million in 2030. Within-year timing is a conservative quarterly budget, not a claim to have reproduced every bond's exact settlement date. New acquisition financing is not repeatedly redrawn or counted twice.

The 32 active operating/deal combinations retain a minimum cash balance of **$5,439.6 million**. A stress removes all remaining modeled CHIPS receipts and increases incremental working capital from 35% to 55% of sequential sales change; minimum cash is **$3,661.3 million**. With no new acquisition financing, the minimum is **$475.8 million**, well below the selected $3.5 billion liquidity reserve. Thus financing access matters even though that isolated diagnostic does not immediately exhaust cash. No zero-common insolvency probability is inferred from a reserve breach.

Only $1.863 billion of the existing $2.163 billion June CHIPS receivable is collected in the model, spread over eight quarters with $300 million reserved. No new 35% credit is applied to every capex dollar, and previously received H1 grants are not received again. Cash tax is 13.5% of positive profit after interest, adding back book PPA, inventory step-up and closing fees rather than assuming those stock-acquisition costs create immediate cash deductions. Exact tax bases and deductions remain unresolved.

The cash model retains dividends: $1.42 per share in Q3 and the announced $1.52 from Q4, then 5% annual increases as a model assumption. The September announcement makes the November payment contingent on formal October declaration. No discretionary repurchases, stock-option exercise proceeds or future equity funding are needed in the active paths. Cash withholding of $20 million each quarter is included. Participating RSU dividends are included; option reserves are not treated as immediately dividend-entitled stock.

Valuation cash credit is capped at $3.501 billion, after a $3.5 billion liquidity reserve. Extra forecast cash accumulation is not credited again. This selected reserve is below TI's general capital-management objective of 10% of trailing sales plus next-year dividends; a strategic deal drawdown is therefore visible rather than disguised as meeting that higher policy benchmark.

Who owns the profit: shares and participating awards

TI reported 913.247686 million actual common shares on July 15. Q2 EPS used 912 million weighted-average basic shares and an eight-million dilutive compensation increment. Its participating RSUs separately received $11 million of Q2 income under the two-class method. Weighted EPS shares, dated actual shares and a forecast diluted denominator are different measurements.

The forward denominator starts with actual shares, adds six million participating RSUs and a twelve-million incremental option reserve, then rises by 0.5 million shares each quarter. The option reserve is deliberately above the Q2 eight-million increment; it is not the entire December gross option count added on top of shares that may already have been exercised. December reported 25 million gross options and six million RSUs; 30 million unused long-term-plan capacity and 30 million unused ESPP capacity are not all treated as issued. A practical reserve sensitivity is eight to sixteen million option equivalents and four to eight million RSUs.

The participating RSU interest is captured in the denominator, so there is no second deduction of its EPS income allocation from operating profit. Ordinary SBC is fully expensed. Target converted RSUs are added only in completed-deal states using the $231 consideration divided by a fixed $288.98 conversion-price proxy. Actual

terms use TI's ten-day pre-close VWAP; no future price is presented as known. Interim vesting, conversion-price and award-value updates must change cash, expense and shares together.

TEXAS INSTRUMENTS INCORPORATED AND SUBSIDIARIES

Significant accounting policies and practices

Earnings per share (EPS)
We use the two-class method for calculating EPS because the restricted stock units (RSUs) we grant are participating securities containing nonforfeitable rights to receive dividend equivalents. Under the two-class method, a portion of net income is allocated to RSUs and excluded from the calculation of income allocated to common stock.

Computation and reconciliation of earnings per common share are as follows:

	For Three Months Ended June 30,					
	2026			2025		
	Net Income	Shares	EPS	Net Income	Shares	EPS
Basic EPS:						
Net income	$ 1,980			$ 1,295		
Income allocated to RSUs	(11)			(7)		
Income allocated to common stock	$ 1,969	912	$ 2.16	$ 1,288	908	$ 1.42
Dilutive effect of stock compensation plans		8			4	
Diluted EPS:						
Net income	$ 1,980			$ 1,295		
Income allocated to RSUs	(11)			(7)		
Income allocated to common stock	$ 1,969	920	$ 2.14	$ 1,288	912	$ 1.41

	For Six Months Ended June 30,					
	2026			2025		
	Net Income	Shares	EPS	Net Income	Shares	EPS
Basic EPS:						
Net income	$ 3,525			$ 2,474		
Income allocated to RSUs	(20)			(13)		
Income allocated to common stock	$ 3,505	911	$ 3.85	$ 2,461	909	$ 2.71
Dilutive effect of stock compensation plans		6			5	
Diluted EPS:						
Net income	$ 3,525			$ 2,474		
Income allocated to RSUs	(20)			(13)		
Income allocated to common stock	$ 3,505	917	$ 3.82	$ 2,461	914	$ 2.69

Potentially dilutive securities excluded from the computation of diluted earnings per common share during the second quarter of 2026 were not material. Potentially dilutive securities representing 12 million shares of common stock that were outstanding during the second quarter of 2025, and 3 million and 12 million shares outstanding during the first six months of 2026 and 2025, respectively, were excluded from the computation of diluted earnings per common share during these periods because their effect would have been anti-dilutive.

Derivatives and hedging
We use derivative financial instruments to manage exposure to foreign exchange risk. These instruments are primarily forward foreign currency exchange contracts, which are used as economic hedges to reduce the earnings impact that exchange rate fluctuations may have on our non-U.S. dollar net balance sheet exposures. Gains and losses from changes in the fair value of these forward foreign currency exchange contracts are credited or charged to OI&E. We do not apply hedge accounting to our foreign currency derivative instruments.

8

Original issuer exhibit: q2 10q.pdf, PDF page 8. Source facts and plans; model assumptions are separately identified.

The operating path and what drives the ceiling

The reference already contains a strong industrial recovery, automotive content growth and fast data-center expansion. Its 2027 end-market sales are $8.80 billion industrial, $7.55 billion automotive, $4.80 billion data center, $3.45 billion personal electronics, $750 million communications and $160 million calculators. Data-center reference growth slows from 30% in 2028 to 20% in 2029 and 15% in 2030. Industrial and automotive growth also decelerate. Long-range quarterly detail is a scenario path, not management guidance.

Annual active totals include probability-weighted pricing, 800V, cycle and acquisition outcomes:

Calendar year	Reference sales	Active sales	Active GAAP OP	OP margin
2027	25,510.0	26,284.6	11,484.1	43.7%
2028	28,563.0	30,223.9	13,472.0	44.6%
2029	31,275.2	33,269.2	15,253.8	45.8%

Calendar year	Reference sales	Active sales	Active GAAP OP	OP margin
2030	33,768.4	36,093.7	16,735.4	46.4%

All 18 quarters retain R&D, SG&A, depreciation, ordinary SBC, acquired-business SBC, integration and PPA. The 15 ceiling windows use the labeled quarter plus its next three quarters. For each state, the calculation is max[0, (20 x window OP - end-window financial claims) / end-window diluted shares]. Only then are mutually exclusive transaction and operating probabilities applied. A weighted debt divided by a different weighted share denominator is not substituted for that state calculation.

The Q4 2027 reference ceiling is $266.50; the active ceiling is $262.24. Positive pricing and power-content effects are offset by inventory-cycle risk and the early GAAP/debt cost of acquiring Silicon Labs. A better strategic position can coexist with weaker near-term per-share economics. The model does not raise the valuation multiple to erase that distinction.

Counter-evidence, conditions and the next checkpoints

The largest operating risk is that the breadth observed in 2026 includes replenishment that slows after customers restore normal inventory. The active CYCLE branch removes 12% of reference industrial sales and 6% of automotive sales from 2027 at 75% lost GP less 5% saved expense, a 70% decremental margin. New 800V disappointment is already in its 45% nonachievement mass and is not subtracted again from the same wallet.

The strongest counter-evidence to durable pricing is supply response. TI itself is installing equipment and moving more manufacturing inside. Low-cost Asian analog competitors can compete aggressively in less differentiated sockets. Customers can redesign, dual source or trade performance for price. Delivery reliability can justify premiums on some invoices while the average portfolio still faces normal annual declines.

Acquisition risk is particularly visible in PPA, retention, process transfers and software continuity. A $100 million change in annual acquired-intangible amortization changes a full-year 20x operating valuation by roughly $2 billion before shares and state weights. That sensitivity is too large to dismiss as merely a noncash reporting item in a framework that uses GAAP OP. The target's former foundry relationships and product qualification obligations continue until a transfer works commercially.

The next meaningful checkpoints are October 21 results and pricing commentary, early-2027 annual customer renewals, TI's February capital-management update, merger approvals and credit renewal, the closing cap table and purchase allocation, and evidence of actual high-voltage design shipments. A reference-design demonstration can raise a bounded probability before official volume confirmation; it cannot determine the full customer allocation.

Framework score and research limits

Component	Points	Reason
Core thesis	17	Cost, channel and qualified supply advantages with diverse long-lived analog sockets.
Cycle	8	Broad industrial recovery and datacenter growth, but inventory cycles remain.
TAM	8	Per-system analog content and power conversion grow; no whole-rack TAM assignment.
Catalysts	4	Q3 results,2027 price renewals,capacity ramp and acquisition approvals.
Macro	7	Industrial/auto/geopolitical cyclicality offsets structural AI and manufacturing localization.
Alpha	4	Usable capacity and GAAP acquisition costs differ from a simple low-capex or AI multiple thesis.
Risk class	-3	Large cash deal, regulation, inventory and uncertain pricing duration.

Total 45/60 gives Base75. This is the analytical score for a new covered company. It is separate from the ceiling, which uses a fixed 20x method and can decline even as business quality improves. No analyst target or sector-average multiple is imported.

The largest remaining gaps are precise pricing eligibility, qualified 800V chip content and shipment timing, the target's final award/ordinary count, purchase allocation, and permanent funding terms. Quarterly end-market allocations and the long-range path are model estimates. The engineering case is strongest where demonstrated production, delivery, qualification and cost advantages intersect; it is weakest where reference designs are treated as awarded revenue.

Primary source register

The dossier retains original PDFs/HTML, hashes and the exact point-of-use source exhibits. Key sources are the 2025 Form10-K and proxy; February24 capital-management deck and discussion; April22 and July22 full earnings discussions; June30 Form10-Q; March16 800V architecture release; the LMG365xR025 datasheet revised December2025; February4 acquisition deck and call; the signed merger agreement and March27 Silicon Labs proxy; April30 shareholder vote; July4 target Form10-Q and August Q2 release; and September17 dividend announcement. The dated market quote is a separately labeled Polygon-linked public record, not an operating source.

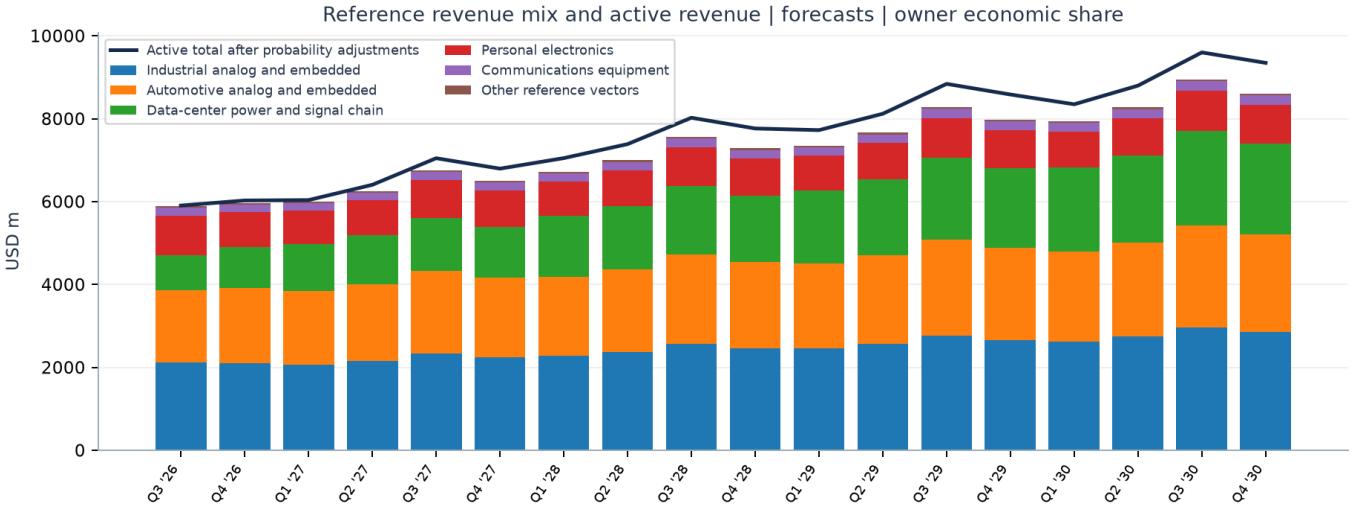
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Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Cost, channel and qualified supply advantages with diverse long-lived analog sockets.
Cycle	8	Broad industrial recovery and datacenter growth, but inventory cycles remain.
TAM	8	Per-system analog content and power conversion grow; no whole-rack TAM assignment.
Catalysts	4	Q3 results,2027 price renewals,capacity ramp and acquisition approvals.
Macro	7	Industrial/auto/geopolitical cyclicality offsets structural AI and manufacturing localization.
Alpha	4	Usable capacity and GAAP acquisition costs differ from a simple low-capex or AI multiple thesis.
Risk classes	-3	Large cash deal, regulation, inventory and uncertain pricing duration.
Total	45/60	Rounded Base 75. Both artifact and new workbook row use this score; this is not a manual override.

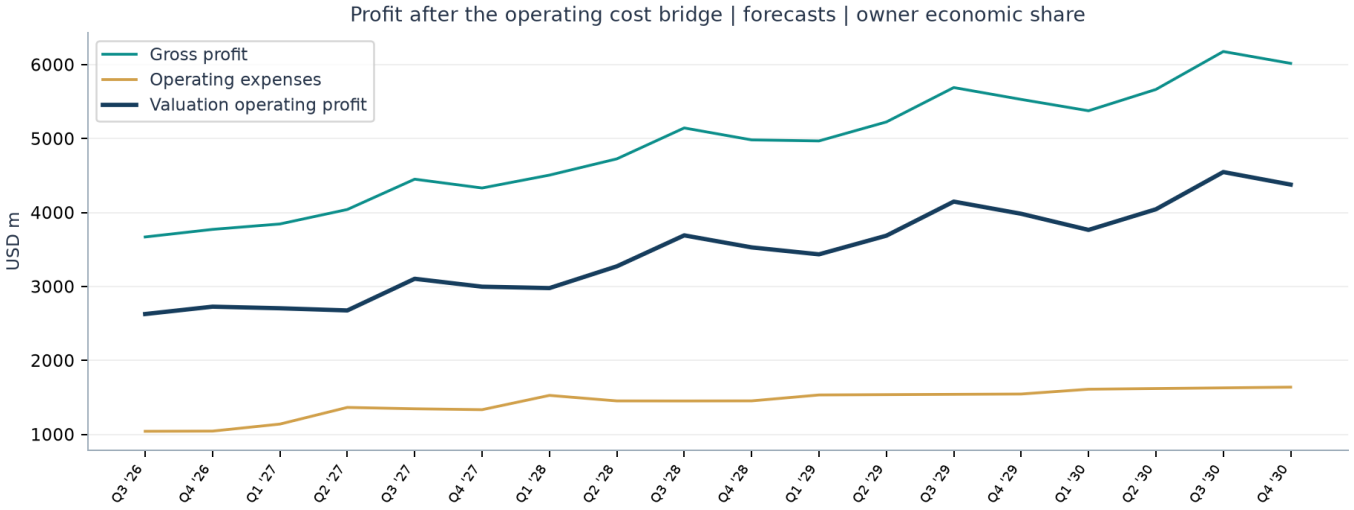
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	5,900.0	4.7	5,904.7
Q4 2026	5,970.0	56.9	6,026.9
Q1 2027	5,994.9	41.9	6,036.8
Q2 2027	6,249.9	155.6	6,405.5
Q3 2027	6,760.1	286.6	7,046.8
Q4 2027	6,505.1	290.5	6,795.6
Q1 2028	6,712.3	336.9	7,049.2
Q2 2028	6,997.9	389.1	7,387.0
Q3 2028	7,569.2	454.0	8,023.2
Q4 2028	7,283.6	480.9	7,764.5
Q1 2029	7,349.7	375.0	7,724.7
Q2 2029	7,662.4	457.4	8,119.8
Q3 2029	8,287.9	552.7	8,840.6
Q4 2029	7,975.2	609.0	8,584.1
Q1 2030	7,935.6	412.8	8,348.4
Q2 2030	8,273.3	525.2	8,798.4
Q3 2030	8,948.6	650.9	9,599.5
Q4 2030	8,610.9	736.5	9,347.4

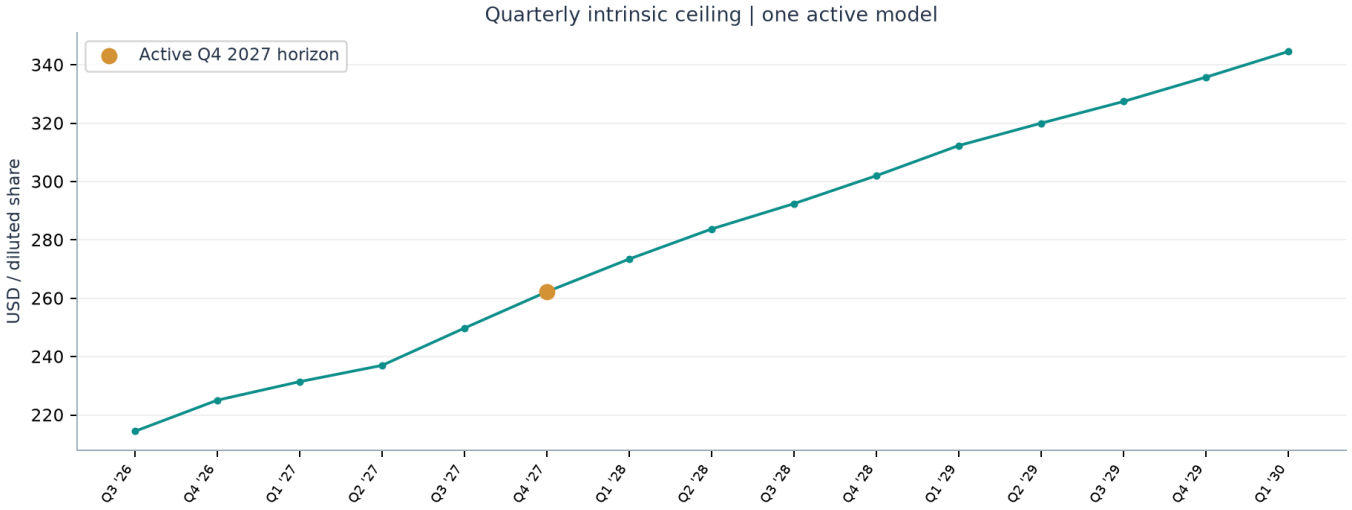
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	5,904.7	3,670.0	1,042.2	2,627.7	44.5%
Q4 2026	6,026.9	3,772.2	1,044.8	2,727.4	45.3%
Q1 2027	6,036.8	3,845.5	1,139.8	2,705.8	44.8%
Q2 2027	6,405.5	4,041.3	1,365.1	2,676.2	41.8%
Q3 2027	7,046.8	4,451.1	1,346.5	3,104.5	44.1%
Q4 2027	6,795.6	4,332.0	1,334.4	2,997.5	44.1%
Q1 2028	7,049.2	4,506.2	1,527.7	2,978.5	42.3%
Q2 2028	7,387.0	4,725.9	1,453.0	3,273.0	44.3%
Q3 2028	8,023.2	5,143.8	1,452.2	3,691.6	46.0%
Q4 2028	7,764.5	4,982.4	1,453.5	3,528.9	45.4%
Q1 2029	7,724.7	4,968.3	1,533.4	3,435.0	44.5%
Q2 2029	8,119.8	5,225.0	1,537.7	3,687.3	45.4%
Q3 2029	8,840.6	5,690.2	1,542.1	4,148.1	46.9%
Q4 2029	8,584.1	5,529.9	1,546.4	3,983.5	46.4%
Q1 2030	8,348.4	5,376.3	1,610.9	3,765.4	45.1%
Q2 2030	8,798.4	5,664.7	1,620.3	4,044.4	46.0%
Q3 2030	9,599.5	6,177.4	1,629.6	4,547.8	47.4%
Q4 2030	9,347.4	6,017.0	1,639.2	4,377.9	46.8%

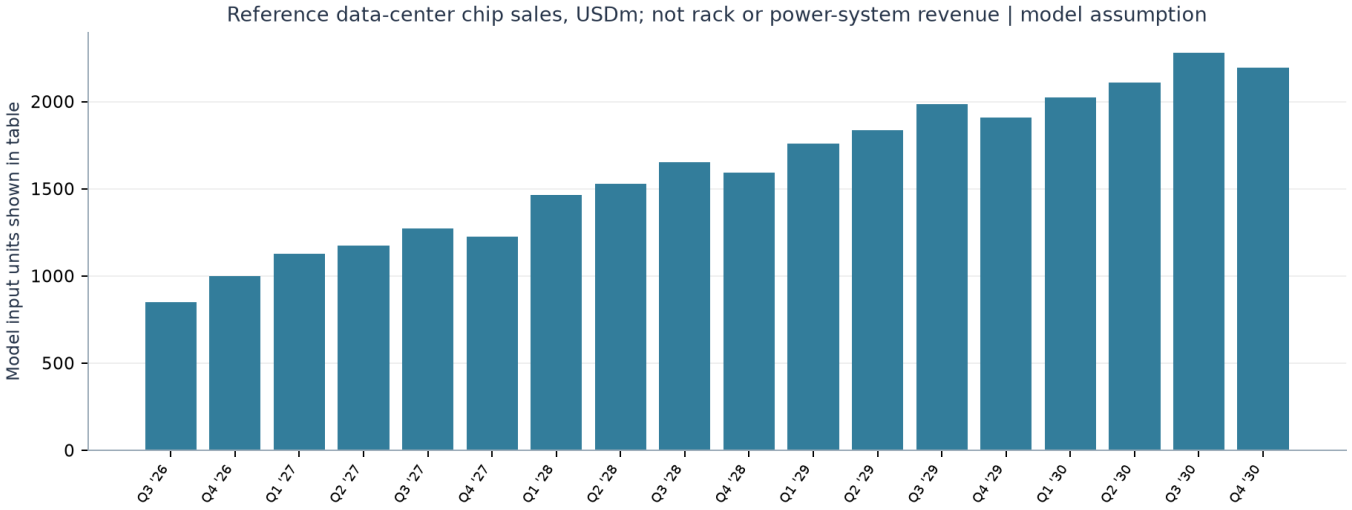
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	10,737.1	20x	933.167	214.42
Q4 2026	Q4 2026 to Q3 2027	11,213.9	20x	933.667	225.08
Q1 2027	Q1 2027 to Q4 2027	11,484.1	20x	934.167	231.44
Q2 2027	Q2 2027 to Q1 2028	11,756.8	20x	934.703	237.01
Q3 2027	Q3 2027 to Q2 2028	12,353.6	20x	935.203	249.79
Q4 2027	Q4 2027 to Q3 2028	12,940.6	20x	935.703	262.24
Q1 2028	Q1 2028 to Q4 2028	13,472.0	20x	936.203	273.46
Q2 2028	Q2 2028 to Q1 2029	13,928.5	20x	936.703	283.76
Q3 2028	Q3 2028 to Q2 2029	14,342.8	20x	937.203	292.45
Q4 2028	Q4 2028 to Q3 2029	14,799.3	20x	937.703	302.03
Q1 2029	Q1 2029 to Q4 2029	15,253.8	20x	938.203	312.36
Q2 2029	Q2 2029 to Q1 2030	15,584.3	20x	938.703	320.03
Q3 2029	Q3 2029 to Q2 2030	15,941.3	20x	939.203	327.46
Q4 2029	Q4 2029 to Q3 2030	16,341.0	20x	939.703	335.80
Q1 2030	Q1 2030 to Q4 2030	16,735.4	20x	940.203	344.59

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Reference data-center chip sales, USDm; not rack or power-system revenue	Status
Q3 2026	850.000	Model; Q3 results scheduled October 21, 2026
Q4 2026	1,000.000	Model; Q3 results scheduled October 21, 2026
Q1 2027	1,128.000	Model; Q3 results scheduled October 21, 2026
Q2 2027	1,176.000	Model; Q3 results scheduled October 21, 2026
Q3 2027	1,272.000	Model; Q3 results scheduled October 21, 2026
Q4 2027	1,224.000	Model; Q3 results scheduled October 21, 2026
Q1 2028	1,466.400	Model; Q3 results scheduled October 21, 2026
Q2 2028	1,528.800	Model; Q3 results scheduled October 21, 2026
Q3 2028	1,653.600	Model; Q3 results scheduled October 21, 2026
Q4 2028	1,591.200	Model; Q3 results scheduled October 21, 2026
Q1 2029	1,759.680	Model; Q3 results scheduled October 21, 2026
Q2 2029	1,834.560	Model; Q3 results scheduled October 21, 2026
Q3 2029	1,984.320	Model; Q3 results scheduled October 21, 2026
Q4 2029	1,909.440	Model; Q3 results scheduled October 21, 2026
Q1 2030	2,023.632	Model; Q3 results scheduled October 21, 2026
Q2 2030	2,109.744	Model; Q3 results scheduled October 21, 2026
Q3 2030	2,281.968	Model; Q3 results scheduled October 21, 2026
Q4 2030	2,195.856	Model; Q3 results scheduled October 21, 2026

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Industrial analog and embedded	2,120.0	64.0%	1,356.8
Q3 2026	Automotive analog and embedded	1,740.0	64.0%	1,113.6
Q3 2026	Data-center power and signal chain	850.0	63.0%	535.5
Q3 2026	Personal electronics	955.0	55.0%	525.2
Q3 2026	Communications equipment	190.0	59.0%	112.1
Q3 2026	Calculators and other	45.0	50.0%	22.5
Q4 2026	Industrial analog and embedded	2,100.0	64.0%	1,344.0
Q4 2026	Automotive analog and embedded	1,810.0	64.0%	1,158.4
Q4 2026	Data-center power and signal chain	1,000.0	63.0%	630.0
Q4 2026	Personal electronics	830.0	55.0%	456.5
Q4 2026	Communications equipment	190.0	59.0%	112.1
Q4 2026	Calculators and other	40.0	50.0%	20.0
Q1 2027	Industrial analog and embedded	2,068.0	65.0%	1,344.2
Q1 2027	Automotive analog and embedded	1,774.2	65.0%	1,153.3
Q1 2027	Data-center power and signal chain	1,128.0	64.0%	721.9
Q1 2027	Personal electronics	810.8	56.0%	454.0
Q1 2027	Communications equipment	176.2	60.0%	105.8
Q1 2027	Calculators and other	37.6	50.0%	18.8
Q2 2027	Industrial analog and embedded	2,156.0	65.0%	1,401.4
Q2 2027	Automotive analog and embedded	1,849.8	65.0%	1,202.3
Q2 2027	Data-center power and signal chain	1,176.0	64.0%	752.6
Q2 2027	Personal electronics	845.2	56.0%	473.3
Q2 2027	Communications equipment	183.8	60.0%	110.2
Q2 2027	Calculators and other	39.2	50.0%	19.6
Q3 2027	Industrial analog and embedded	2,332.0	65.0%	1,515.8
Q3 2027	Automotive analog and embedded	2,000.8	65.0%	1,300.5
Q3 2027	Data-center power and signal chain	1,272.0	64.0%	814.1
Q3 2027	Personal electronics	914.2	56.0%	512.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	Communications equipment	198.8	60.0%	119.2
Q3 2027	Calculators and other	42.4	50.0%	21.2
Q4 2027	Industrial analog and embedded	2,244.0	65.0%	1,458.6
Q4 2027	Automotive analog and embedded	1,925.2	65.0%	1,251.4
Q4 2027	Data-center power and signal chain	1,224.0	64.0%	783.4
Q4 2027	Personal electronics	879.8	56.0%	492.7
Q4 2027	Communications equipment	191.2	60.0%	114.8
Q4 2027	Calculators and other	40.8	50.0%	20.4
Q1 2028	Industrial analog and embedded	2,274.8	65.5%	1,490.0
Q1 2028	Automotive analog and embedded	1,916.2	65.0%	1,245.5
Q1 2028	Data-center power and signal chain	1,466.4	64.0%	938.5
Q1 2028	Personal electronics	827.0	56.0%	463.1
Q1 2028	Communications equipment	190.3	60.0%	114.2
Q1 2028	Calculators and other	37.6	50.0%	18.8
Q2 2028	Industrial analog and embedded	2,371.6	65.5%	1,553.4
Q2 2028	Automotive analog and embedded	1,997.7	65.0%	1,298.5
Q2 2028	Data-center power and signal chain	1,528.8	64.0%	978.4
Q2 2028	Personal electronics	862.2	56.0%	482.8
Q2 2028	Communications equipment	198.4	60.0%	119.1
Q2 2028	Calculators and other	39.2	50.0%	19.6
Q3 2028	Industrial analog and embedded	2,565.2	65.5%	1,680.2
Q3 2028	Automotive analog and embedded	2,160.8	65.0%	1,404.5
Q3 2028	Data-center power and signal chain	1,653.6	64.0%	1,058.3
Q3 2028	Personal electronics	932.5	56.0%	522.2
Q3 2028	Communications equipment	214.7	60.0%	128.8
Q3 2028	Calculators and other	42.4	50.0%	21.2
Q4 2028	Industrial analog and embedded	2,468.4	65.5%	1,616.8
Q4 2028	Automotive analog and embedded	2,079.3	65.0%	1,351.5
Q4 2028	Data-center power and signal chain	1,591.2	64.0%	1,018.4
Q4 2028	Personal electronics	897.3	56.0%	502.5
Q4 2028	Communications equipment	206.6	60.0%	123.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Calculators and other	40.8	50.0%	20.4
Q1 2029	Industrial analog and embedded	2,456.8	66.0%	1,621.5
Q1 2029	Automotive analog and embedded	2,050.3	65.0%	1,332.7
Q1 2029	Data-center power and signal chain	1,759.7	64.0%	1,126.2
Q1 2029	Personal electronics	843.5	56.0%	472.4
Q1 2029	Communications equipment	201.8	60.0%	121.1
Q1 2029	Calculators and other	37.6	50.0%	18.8
Q2 2029	Industrial analog and embedded	2,561.3	66.0%	1,690.5
Q2 2029	Automotive analog and embedded	2,137.6	65.0%	1,389.4
Q2 2029	Data-center power and signal chain	1,834.6	64.0%	1,174.1
Q2 2029	Personal electronics	879.4	56.0%	492.5
Q2 2029	Communications equipment	210.4	60.0%	126.2
Q2 2029	Calculators and other	39.2	50.0%	19.6
Q3 2029	Industrial analog and embedded	2,770.4	66.0%	1,828.5
Q3 2029	Automotive analog and embedded	2,312.1	65.0%	1,502.8
Q3 2029	Data-center power and signal chain	1,984.3	64.0%	1,270.0
Q3 2029	Personal electronics	951.2	56.0%	532.7
Q3 2029	Communications equipment	227.5	60.0%	136.5
Q3 2029	Calculators and other	42.4	50.0%	21.2
Q4 2029	Industrial analog and embedded	2,665.9	66.0%	1,759.5
Q4 2029	Automotive analog and embedded	2,224.8	65.0%	1,446.1
Q4 2029	Data-center power and signal chain	1,909.4	64.0%	1,222.0
Q4 2029	Personal electronics	915.3	56.0%	512.6
Q4 2029	Communications equipment	218.9	60.0%	131.4
Q4 2029	Calculators and other	40.8	50.0%	20.4
Q1 2030	Industrial analog and embedded	2,628.8	66.0%	1,735.0
Q1 2030	Automotive analog and embedded	2,173.3	65.0%	1,412.7
Q1 2030	Data-center power and signal chain	2,023.6	64.0%	1,295.1
Q1 2030	Personal electronics	860.4	56.0%	481.8
Q1 2030	Communications equipment	211.9	60.0%	127.1
Q1 2030	Calculators and other	37.6	50.0%	18.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Industrial analog and embedded	2,740.6	66.0%	1,808.8
Q2 2030	Automotive analog and embedded	2,265.8	65.0%	1,472.8
Q2 2030	Data-center power and signal chain	2,109.7	64.0%	1,350.2
Q2 2030	Personal electronics	897.0	56.0%	502.3
Q2 2030	Communications equipment	220.9	60.0%	132.5
Q2 2030	Calculators and other	39.2	50.0%	19.6
Q3 2030	Industrial analog and embedded	2,964.3	66.0%	1,956.5
Q3 2030	Automotive analog and embedded	2,450.8	65.0%	1,593.0
Q3 2030	Data-center power and signal chain	2,282.0	64.0%	1,460.5
Q3 2030	Personal electronics	970.2	56.0%	543.3
Q3 2030	Communications equipment	238.9	60.0%	143.3
Q3 2030	Calculators and other	42.4	50.0%	21.2
Q4 2030	Industrial analog and embedded	2,852.5	66.0%	1,882.6
Q4 2030	Automotive analog and embedded	2,358.3	65.0%	1,532.9
Q4 2030	Data-center power and signal chain	2,195.9	64.0%	1,405.3
Q4 2030	Personal electronics	933.6	56.0%	522.8
Q4 2030	Communications equipment	229.9	60.0%	137.9
Q4 2030	Calculators and other	40.8	50.0%	20.4

Operating-cost derivation

Quarter	Research and development including SBC and depreciation	Selling and administration including SBC and depreciation	Existing acquisition diligence charges
Q3 2026	543.2	481.8	17.0
Q4 2026	543.2	481.8	17.0
Q1 2027	593.6	526.4	0.0
Q2 2027	593.6	526.4	0.0
Q3 2027	593.6	526.4	0.0
Q4 2027	593.6	526.4	0.0
Q1 2028	641.3	568.7	0.0
Q2 2028	641.3	568.7	0.0
Q3 2028	641.3	568.7	0.0
Q4 2028	641.3	568.7	0.0
Q1 2029	689.0	611.0	0.0
Q2 2029	689.0	611.0	0.0
Q3 2029	689.0	611.0	0.0
Q4 2029	689.0	611.0	0.0
Q1 2030	731.4	648.6	0.0
Q2 2030	731.4	648.6	0.0
Q3 2030	731.4	648.6	0.0
Q4 2030	731.4	648.6	0.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	PRICE	80%	5.9	5.3	0.3	4.0
Q3 2026	POWER800	55%	0.0	0.0	0.0	0.0
Q3 2026	CYCLE	25%	0.0	0.0	0.0	0.0
Q3 2026	DEAL AND INTERACTION RECONCILIATION	100%	0.0	-0.0	0.0	-0.0
Q4 2026	PRICE	80%	71.2	64.0	3.6	48.4
Q4 2026	POWER800	55%	0.0	0.0	0.0	0.0
Q4 2026	CYCLE	25%	0.0	0.0	0.0	0.0
Q4 2026	DEAL AND INTERACTION RECONCILIATION	100%	-0.0	0.0	0.0	-0.0
Q1 2027	PRICE	80%	148.9	134.0	7.4	101.3
Q1 2027	POWER800	55%	24.0	15.4	2.4	7.1
Q1 2027	CYCLE	25%	-354.6	-266.0	-17.7	-62.1
Q1 2027	DEAL AND INTERACTION RECONCILIATION	100%	-1.8	-1.6	16.9	-18.5
Q2 2027	PRICE	80%	155.3	139.7	7.8	105.6
Q2 2027	POWER800	55%	48.0	30.7	4.8	14.3
Q2 2027	CYCLE	25%	-369.7	-277.3	-18.5	-64.7
Q2 2027	DEAL AND INTERACTION RECONCILIATION	100%	97.4	22.4	240.8	-218.5
Q3 2027	PRICE	80%	167.9	151.1	8.4	114.2
Q3 2027	POWER800	55%	72.0	46.1	7.2	21.4
Q3 2027	CYCLE	25%	-399.9	-299.9	-20.0	-70.0
Q3 2027	DEAL AND INTERACTION RECONCILIATION	100%	212.7	97.0	220.9	-123.9
Q4 2027	PRICE	80%	161.6	145.4	8.1	109.9
Q4 2027	POWER800	55%	96.0	61.4	9.6	28.5
Q4 2027	CYCLE	25%	-384.8	-288.6	-19.2	-67.3

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2027	DEAL AND INTERACTION RECONCILIATION	100%	204.6	132.8	207.5	-74.7
Q1 2028	PRICE	80%	166.9	150.2	8.3	113.5
Q1 2028	POWER800	55%	72.0	46.1	7.2	21.4
Q1 2028	CYCLE	25%	-387.9	-291.0	-19.4	-67.9
Q1 2028	DEAL AND INTERACTION RECONCILIATION	100%	260.7	163.3	311.9	-148.6
Q2 2028	PRICE	80%	174.0	156.6	8.7	118.3
Q2 2028	POWER800	55%	144.0	92.2	14.4	42.8
Q2 2028	CYCLE	25%	-404.5	-303.3	-20.2	-70.8
Q2 2028	DEAL AND INTERACTION RECONCILIATION	100%	271.8	174.0	233.1	-59.1
Q3 2028	PRICE	80%	188.2	169.4	9.4	128.0
Q3 2028	POWER800	55%	216.0	138.2	21.6	64.2
Q3 2028	CYCLE	25%	-437.5	-328.1	-21.9	-76.6
Q3 2028	DEAL AND INTERACTION RECONCILIATION	100%	294.0	199.1	228.3	-29.2
Q4 2028	PRICE	80%	181.1	163.0	9.1	123.1
Q4 2028	POWER800	55%	288.0	184.3	28.8	85.5
Q4 2028	CYCLE	25%	-421.0	-315.7	-21.0	-73.7
Q4 2028	DEAL AND INTERACTION RECONCILIATION	100%	282.9	196.1	225.7	-29.6
Q1 2029	PRICE	80%	137.1	123.4	6.9	93.2
Q1 2029	POWER800	55%	126.0	80.6	12.6	37.4
Q1 2029	CYCLE	25%	-417.8	-313.4	-20.9	-73.1
Q1 2029	DEAL AND INTERACTION RECONCILIATION	100%	300.5	211.0	226.2	-15.2
Q2 2029	PRICE	80%	142.9	128.6	7.1	97.2
Q2 2029	POWER800	55%	252.0	161.3	25.2	74.8
Q2 2029	CYCLE	25%	-435.6	-326.7	-21.8	-76.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2029	DEAL AND INTERACTION RECONCILIATION	100%	313.3	222.8	223.6	-0.8
Q3 2029	PRICE	80%	154.6	139.1	7.7	105.1
Q3 2029	POWER800	55%	378.0	241.9	37.8	112.3
Q3 2029	CYCLE	25%	-471.2	-353.4	-23.6	-82.5
Q3 2029	DEAL AND INTERACTION RECONCILIATION	100%	338.9	242.5	221.0	21.5
Q4 2029	PRICE	80%	148.8	133.9	7.4	101.2
Q4 2029	POWER800	55%	504.0	322.6	50.4	149.7
Q4 2029	CYCLE	25%	-453.4	-340.0	-22.7	-79.3
Q4 2029	DEAL AND INTERACTION RECONCILIATION	100%	326.1	238.4	218.4	20.0
Q1 2030	PRICE	80%	98.7	88.9	4.9	67.1
Q1 2030	POWER800	55%	180.0	115.2	18.0	53.5
Q1 2030	CYCLE	25%	-445.9	-334.4	-22.3	-78.0
Q1 2030	DEAL AND INTERACTION RECONCILIATION	100%	346.3	255.0	222.6	32.3
Q2 2030	PRICE	80%	102.9	92.6	5.1	70.0
Q2 2030	POWER800	55%	360.0	230.4	36.0	106.9
Q2 2030	CYCLE	25%	-464.8	-348.6	-23.2	-81.3
Q2 2030	DEAL AND INTERACTION RECONCILIATION	100%	361.0	264.7	222.2	42.5
Q3 2030	PRICE	80%	111.3	100.2	5.6	75.7
Q3 2030	POWER800	55%	540.0	345.6	54.0	160.4
Q3 2030	CYCLE	25%	-502.8	-377.1	-25.1	-88.0
Q3 2030	DEAL AND INTERACTION RECONCILIATION	100%	390.5	283.6	221.8	61.9
Q4 2030	PRICE	80%	107.1	96.4	5.4	72.8
Q4 2030	POWER800	55%	720.0	460.8	72.0	213.8
Q4 2030	CYCLE	25%	-483.8	-362.8	-24.2	-84.7

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2030	DEAL AND INTERACTION RECONCILIATION	100%	375.8	275.2	221.3	53.8

Transaction outcomes and matched common-share values

Each transaction outcome contains eight persistent pricing, 800V and cyclical combinations. The table averages common-share values only after matching each path to its own window-end claims and shares. USD millions except per-share values.

Q4 2027 outcome	Probability	Conditional F4Q OP	Conditional ceiling	Weighted contribution	Minimum path cash
ON TIME	75%	13,000.0	262.95	197.21	5,439.6
DELAY	15%	12,681.0	256.22	38.43	5,606.4
REG FAIL	7%	12,729.4	262.67	18.39	7,785.7
OTHER FAIL	3%	13,245.4	273.71	8.21	7,785.7

Acquisition funding includes an assumed USD5 billion permanent refinancing. The disclosed short-term bridge is not a committed permanent capital structure. The model retains acquisition amortization, integration and award expense in operating profit. Cash addbacks only remove duplicate funding for items already in purchase cash.

Quarterly funding and liquidity envelope

The 32 active paths retain a USD3.5 billion operating reserve under the stated refinancing assumption. The no-financing diagnostic breaches that reserve. Cash credit in valuation is limited to USD3.501 billion; cash above that cap is not a second valuation asset.

Quarter	Expected end cash	Minimum path cash	Expected end debt	Expected deal cash	Expected capex
Q3 2026	7,787.5	7,785.7	14,150.0	0.0	850.0
Q4 2026	8,181.6	8,156.3	13,650.0	0.0	850.0
Q1 2027	8,721.5	8,505.8	13,650.0	0.0	1,232.5
Q2 2027	6,637.7	5,439.6	16,750.0	5,709.7	1,240.0
Q3 2027	7,374.3	5,840.0	16,750.0	0.0	1,247.5
Q4 2027	7,799.9	5,945.5	16,250.0	0.0	1,247.5
Q1 2028	7,352.9	5,606.4	16,300.0	1,155.8	1,316.8
Q2 2028	8,181.0	6,051.7	16,300.0	0.0	1,316.8
Q3 2028	9,096.5	6,595.1	16,300.0	0.0	1,316.8
Q4 2028	10,183.6	7,319.3	16,300.0	0.0	1,316.8
Q1 2029	10,521.6	7,326.6	15,650.0	0.0	1,244.2
Q2 2029	11,577.8	8,042.6	15,650.0	0.0	1,244.2
Q3 2029	12,917.6	9,053.8	15,650.0	0.0	1,244.2
Q4 2029	13,709.8	9,537.8	14,900.0	0.0	1,244.2
Q1 2030	14,337.9	9,881.0	14,150.0	0.0	1,183.0
Q2 2030	15,719.9	10,953.7	14,150.0	0.0	1,183.0
Q3 2030	17,413.5	12,366.4	14,150.0	0.0	1,183.0
Q4 2030	18,780.4	13,488.9	13,600.0	0.0	1,183.0

Claim decisions, overlap and triggers

PRICE

p: 0.8

source: April22 and July22 complete management discussions.

bounded: Q3 2026 conditional0.1% and Q4 1.2% of eligible legacy sales. In2027-28,50% new/repriceable invoices x5% premium =2.5%; selected premium bounded2-6%. Fade to1.875% in2029 and1.25% in2030.

bridge: 90% incremental gross profit less5% incremental service/expediting cost =85% OP. Repricing is reduced by the same lost industrial/auto volumes in the CYCLE state.

overlap: Reference includes flat H1 realized prices and unit recovery. Fixed contracts and incremental800V sales excluded; no second300mm margin uplift.

counter: Competitive capacity, annual contract renewal, Chinese analog supply and normalization of lead times can reduce pricing.

POWER800

p: 0.55

source: March16 NVIDIA architecture demonstration and July22 phased-adoption discussion.

bounded: 2/4/6/8m eligible power domains in2027-30 x$240/$360/$420/$450 captured TI chip content x50% residual after overlap =240/720/1260/1800m conditional sales. These are bounded model proxies, not issuer awards. Unit bound50-150%; content bound75-125%.

bridge: 64% incremental GP minus10% engineering/support =54% OP. Conditional capex600/900/1100/1200m annually; D&A80/200/320/400m remains in gross costs, added back only for cash.

overlap: Half the wallet removed because reference data-center sales already grow to4.8/6.24/7.488/8.611bn. Rack value, whole PSUs and broadAI TAM are not assigned to TI.

counter: Reference designs do not guarantee volume. Fewer conversion stages can remove sockets; competitors, qualification and adoption timing matter.

CYCLE

p: 0.25

source: April22 false-start warning, annual inventory cycle and July22 broad recovery discussion.

bounded: From2027,12% lost reference industrial sales and6% lost reference automotive sales, excluding incremental800V sales.

bridge: 75% lost GP with5% saved variable opex =70% OP decrement. Lost units also remove their potential repricing receipts.

overlap: 800V failure already sits in its45% nonachievement mass; the same missed wallet is not subtracted twice.

counter: Secular content, new industrial designs and broad regional demand could sustain growth.

SLAB

probabilities: ON TIME: 0.75 DELAY: 0.15 REG FAIL: 0.07 OTHER FAIL: 0.03

source: February4 signed agreement/deck/call; March27 proxy; April30 vote; targetQ2 filing; July22 TI call.

bounded: 75% Q2 2027 close withhalf-quarter recognition;15% January2028 close;7% Q1 2028 regulatory failure with499m cashfee;3% Q2 2027 otherfailure withno assumed fee or receipt. Mutually exclusive100%.

bridge: Target standalone full-year sales1.08/1.242/1.4283/1.642545bnCY27-30;62% GP;560/600/630/660m ordinary GAAPopex. Selected mature savings315m =70% attainment of450m target, ramped over11quarters. This70% is a conditional magnitude assumption, not another probability. Annual450m PPA,100m inventory step-up,150m integration,80m closingfees and50m accelerated compensation remain in OP.

overlap: No target sales before close; no revenue synergy added. Existing target SBC stays in ordinary expenses. Ordinary unvested RSUs convert to TI stock; only specified accelerated awards settle in cash. Price/cycle intersection is a mechanical reconciliation, not an independent opportunity.

counter: Regulatory remedies, foundry transfers, customer qualification, PPA, integration and final closing cap table can change economics.

DEAL_CASH

source: Merger ordinary consideration231/share; August4 actual33.366761m shares; July4 liquid assets397.2m; proxy award provisions.

bounded: Ordinary purchase7707.723791m +130m accelerated-award allowance +80m closing fees -397.2m targetcash =7520.523791m before interim vesting. Residual1.10m RSU pool splits0.4m cash/0.7m converted foron-time or0.8m cash/0.3m converted fordelayed. Closing cash adds92.4m or184.8m respectively.

bridge: Closing-fee80m and accelerated compensation50m are expensed and then added back in the cash bridge because their payment is already in purchase cash. Remaining80m award allowance is acquisition consideration. PPA, inventory step-up and closing fees receive no assumed immediate cash-tax deduction.

counter: Final ordinary and award counts, vesting, taxbasis and10-day conversionVWAP are unknown. This is an explicit provisional reserve, not reported final consideration.

FUNDING

p: 1

source: June30 TI Form10-Q pp4-5,12-13,16; February24 capital discussion; September17 dividend.

bounded: Model5bn permanent financing atclose,5.5% interest andmaturity beyond2030. Disclosed5bn facility is a364-day delayed-draw bridge, not permanent financing; delayed close requires renewal. No additional equity or discretionary buybacks.

bridge: All32 paths mincash5439.612m. Zero furtherCHIPS and55% incrementalworking-capital stress min3661.322m. No-new-financing diagnostic min475.833m, below3500m modelreserve. Only1863m ofexisting2163m CHIPSreceivable is collected;300m reserved.

zero reason: No funding-failure zero-common mass imposed: funding is necessary to preserve the selected liquidity reserve, but the no-debt diagnostic does not itself establish insolvency. Market access and bridge renewal remain explicit risks.

overlap: Face debt paid once; end-window cash/debt matched. No old CHIPS receipts repeated, no investment credit on all overseascapex, no lease double deduction withGAAP rent.

SHARES

p: 1

source: July15 TI cover count; Q2 two-classEPS note; annual awardfootnote; merger conversion clauses.

bounded: 913.247686m actual +6m participatingRSUs +12m optionequivalent reserve +0.5m quarterly netgrowth. Option reserve bound8-16m; RSUs4-8m. Target residual converted awards added onlyafterclose at231/288.98 proxy ratio.

bridge: End-window state denominator. Participating RSU profit allocation is not deducted again because their rights are represented in the denominator. Ordinary SBC remains fully expensed; no forecast exercise cash credited.

counter: Exact current grossoption/RSUroll andfuture closingVWAP require updates. Unused plan authorizations are not issuedshares.

Remaining bounded uncertainties

- Q3 2026 actual results are scheduled October21. Quarterly end-market allocations are model estimates, distinct from reported Analog/Embedded/Other segments.

- Exact eligible repricing mix, premium and duration are not disclosed. Pricing and lost-volume overlap are explicitly paired.

- 800V reference designs do not establish exclusive allocation, chip content or production volume. The domain/content wallet is bounded and50% overlap-adjusted.

- Final Silicon Labs ordinary shares, interim vesting, accelerated awards, residual converted awards, closing VWAP, taxbasis and purchase allocation remain unknown.

- The modeled5bn permanent financing is not the disclosed364-day bridge. Delayed closing requires renewal or replacement; the no-financing diagnostic breaches the liquidity reserve.

- PPA450m/year is a provisional4500m allocation over10years; sensitivity3000-5000m over8-12years. It remains in GAAPOP and is not assumed immediately cash-tax-deductible.

- Optionequivalent reserve12m and participatingRSU reserve6m are forward assumptions. Datedactual shares and weighted EPS counts are not interchangeable.

- Within-year debt maturities use a quarterly budget matching disclosed annual face principal, not an exact settlement-date schedule.

- The selected3500m liquidity reserve is below the issuer general objective of10% trailing revenue plus next-year dividends. Strategic deal drawdown is explicit.

- Onlyexisting CHIPSreceivables are forecast for cash; overseas assembly/test capex does not qualify automatically for US35% investment credits.

- Source demonstrations and long-term sourcing aspirations are capability evidence, not saleable-unit capacity or confirmed customer purchase orders.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

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